Niti Aayog : Its Creation and Relevance

Introduction :

- The NITI Aayog (National Institution for Transforming India) was set up in the Year 2015 on 1st January in the place of Planning Commission
- The original planning commission was set up in March 1950 through a Cabinet Resolution
- The Prime Minister will head the new Institution as the Chairperson
- The Prime Minister will appoint the Vice-Chairperson and the CEO

Its Establishment :

- On May 29, 2014 the Independent Evaluation Office submitted an Assessment Report to PM Modi with the recommendation to replace the Planning Commission with a ‘control commission’
- On August 13, 2014 the Union Cabinet scrapped the Planning Commission to be replaced with a diluted version of the National Development and Reform Commission (NDRC) of India
- On January 1st 2015, a cabinet resolution was passed to replace Planning Commission with the newly formed Niti Aayog
- The first meeting of Niti Aayog was chaired by PM Narendra Modi on February 8, 2015

Its Objectives :

- Essentially an Advisory Body that seeks to provide critical directional and strategic inputs across spectrum of key elements of Policy to the Centre as well as to the States
- Seeks to put an end to slow and tardy Policy-Implementation by fostering Inter-Ministry, Inter-State & Centre-State coordination
- Foster Cooperative Federalism by evolving a shared vision of national development priorities
- Envisaged to follow the bottom-up development approach, where it would develop mechanisms to formulate credible plans to the village plans and aggregate these progressively to higher levels of Government

Objectives Continued ..

- Pay attention to weaker sections of the society that may not have benefitted from the Economic Progress
- Create a Knowledge, Innovation and Entrepreneurial Support System via a community of national and international experts, practitioners and partners
- Serve as a platform for resolution of inter-sectoral and inter-departmental issues in order to accelerate the implementation of development agenda
- Monitor and Evaluate the Implementation of Programs, and focus on Technology upgradation and Capacity Building

Its Composition

- Chairperson – Prime Minister
- Governing Council – Its Members are the Chief Ministers and Administrators of the Union Territories
- Regional Council – These would be created as per the need and its members would be Chief Ministers and Administrators of the UTs of respective Regions
- Vice-Chairperson – He would be appointed by the Prime Minister. The first Vice-Chairperson was Arvind Panagariya; and the present one is Dr. Rajiv Kumar (Both have been Leading Economists)

Composition Continued ..

- Niti Ayog has full-time members (Number unspecified till date), part-time members (maximum 2), ex-officio members (maximum 4 – these are ministers from the Union Council of Ministers), Special Invitees (these are appointed by the PM for fixed tenure)
- There is a Chief Executive Officer (CEO) of the Niti Ayog, who is appointed by the PM and has a similar rank like that of Secretary to the Government of India

Niti Ayog Vs Planning Commission

- At the Financial Front : Niti Ayog as an Advisory Body or a Think Tank whereas the Planning Commission enjoyed the powers to allocate funds to Ministers and State Governments
- As per the Role of the States : Under Niti Ayog, State Governments are expected to play a significant role than they did in the Planning Commission; under the Planning Commission, State role was limited to the National Development Council and Annual Interaction during the Plan Meetings
- Nehruvian Decentralised Vs Modi’s Centralised Planning

Comparison Continued ..

- As for the full-time members, in Niti Aayog the number of full-time members could be less than it had during the Planning Commission, which had 8 full-time members in the last one
- In Niti Aayog, the Member Secretary is to be known as the CEO and appointed by the PM; in Planning Commission, Secretaries or Member-Secretaries were appointed through the usual process
- As for the Number of part-time members, for Niti Aayog it depends from time to time; Full Planning Commission had no provision for part-time members

Again, what will Niti Aayog do :

- Provide a critical directional and strategic input into the governance process
- Develop mechanisms to formulate credible plans at village level and aggregate these progressively at higher levels of government
- Ensure that the interests of national security are incorporated in economic strategy and policy
- Pay special attention to the sections of society that may be at the risk of not benefitting adequately from the economic progress
- Through commitment to a cooperative federalism : promotion of citizen engagement, egalitarian access to opportunity, participative and adaptive governance, increasing use of the technology
- It will leverage India’s pool of entrepreneurial, scientific and intellectual human capital

Comment by Ex-Finance Minister Arun Jaitley

- “The 65-year-old Planning Commission had become a redundant organisation. It was relevant in a command economy structure, but not any longer. India is a diversified country and its states are in various phases of economic development along with their own strengths and weaknesses. In this context, a ‘one size fits all’ approach to economic planning is obsolete. It cannot make India competitive in today’s global economy.”

Achievements of Niti Aayog

- On Innovation and Entrepreneurship
- On Infrastructure and Energy Sector
- On Cooperative Federalism
- On Agricultural Development
- Digitalisation Movement
- On Increase in FDI

Criticisms and Challenges

- An extra-constitutional, non-statutory body
- Afterall, a Government of India Think-Tank
- Contradictory Vision at times
- Not Obligatory as well as Biased in Nature
- Practical Implementation till date, only limited to some States
- An Old Wine in a New Bottle
- However sustaining a decent economic growth despite global slow-down shows that Implementation of Aayog is on the right track

Way Forward ..

- Too early to further comment on efficacy of the New Institution related to planned development
- Shifting of Gears and Moving into Operation
- Present Move to decentralise planning and allowing inputs from the States
- It will remain a hotbed of political topic with ambiguous opinions